Budget constraint

Governments have financial constraints just as individuals and companies do. When spending exceeds income, the government may need to borrow—or even print—money to cover the shortfall.

How it works

Governments need to pay for the public services they provide and for any other financial commitments they may have. To do this they tax the population, and borrow money if additional funds are needed. In extreme cases it is even possible for governments to print their own cash. Each strategy has its own costs—but printing money is so risky that it is very rarely used directly.

The difference between a government's tax revenues and its spending is known as its budget (or fiscal) deficit. The budget deficit shows how much extra money the government needs to borrow (or print) to finance its spending. It is typical for some governments to run a small budget deficit on an ongoing basis.

Spending and the deficit

Ideally a government's spending commitments (inside the circle) should be covered by tax revenue and other forms of income. However, when a proportion of spending is not covered (budget deficit), the extra funding has to be raised either from borrowing or by printing additional money. Small deficits can usually be dealt with by borrowing alone, but if a deficit grows too large, then the government may find itself in financial difficulties as it may need to borrow increasing amounts simply to keep up with existing payments (*see pp. 146–7*).